Daiwa Capital Markets Hong Kong Limited

# Asia Vital Components (3017 TT)

Target price: **TWD4,815.00** (from TWD4,815.00)

Share price (10 Nov): **TWD2,790.00** | Up/downside: **+72.6%**

5 4 3 2 **1**

**Buy** (unchanged)

## 3Q26 review: liquid cooling penetration rate rises

- 3Q26 EPS beat the Bloomberg consensus by 3%
- Started shipments of double-sided cold plates and CDUs from 3Q26
- Reaffirming our Buy (1) call with an unchanged 12M TP of TWD4,815

**Helen Chien**
(886) 2 8758 6254
helen.chien@daiwacm-cathay.com.tw

**Neil Teng, CFA**
(886) 2 8758 6256
neil.teng@daiwacm-cathay.com.tw



**What's new:** AVC announced its 3Q26 results and hosted an investor conference on 10 November 2026 after market hours. We believe AVC will be one of the key beneficiaries from the rising penetration rate of liquid cooling in both ASIC and GPU projects, with an aggressive capacity expansion plan over 2026-28. We reaffirm our Buy (1) call (see our latest Flash, *3Q26 results preview: likely to beat expectations*, on 2 November).

**What's the impact: 3Q26 results beat the Bloomberg consensus.** AVC's 3Q26 revenue of TWD59,089m (+20.3% QoQ; +51.8% YoY) was roughly in line with our and the Bloomberg consensus estimates. Its 3Q26 gross margin came in at 33.9% (vs. 32.6% in 2Q26 and 26.1% in 3Q25), a record-high level, higher than our estimate (33.5%) and the consensus (33.3%) on better product mix and high server revenue contribution of 66% in 3Q26 vs. 66% in 2Q26 and 54% in 3Q25. Its operating profit of TWD16,856m (+25.1% QoQ; +108.5% YoY) was in line with our estimate and beat the consensus by 4.2%. Thus, its operating margin of 28.5% (vs. 27.4% in 2Q26 and 20.8% in 3Q25), a record-high level, was also in line with our estimate and beat the consensus (27.9%). With an FX loss of TWD304m, its net profit of TWD11,564m (+20.9% QoQ; +116.6% YoY) was in line with our estimate and beat the market consensus estimate by 3%. Its 3Q26 EPS finished at TWD29.32.

**Key highlights from the investor conference – liquid cooling revenue from AI servers continue to rise.** AVC is confident it can maintain its leading position as a thermal and mechanical solution integrator, being a primary design partner for ASIC and GPU projects. In 2027, AVC expects its revenue from ASICs projects to be higher than GPU ones. From 3Q26, AVC has started shipping the double-sided cold plates, which it expects to be adopted by all ASIC clients and some GPU clients. With years of experience in providing CDU parts, AVC has also started shipping complete CDU solutions from 3Q26. AVC aims for TWD15-20bn capex in 2027 (mainly in Vietnam, for liquid cooling capacity expansion), up from TWD15bn in 2026E. We keep our 2026-28E EPS broadly unchanged.

**What we recommend:** We reaffirm our Buy (1) call and 12M TP of TWD4,815, still based on a target PER of 30x vs. its past-3-year PER range of 5-25x [average PER of 15x]) applied to our 1-year-forward EPS. Downside risks: slower-than-expected progress in high-gross-margin orders, slow AI server adoption, and strong competition.

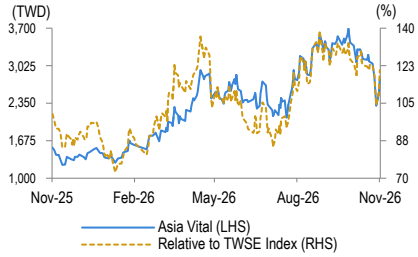
**How we differ:** Our 2028E EPS is 8% above consensus, likely on our more aggressive gross- and operating margins.

### Forecast revisions (%)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue change | - | - | - |
| Net profit change | (1.6) | (0.5) | (0.3) |
| Core EPS (FD) change | (1.3) | (0.1) | - |

*Source: Daiwa forecasts*

### Share price performance




| | |
|---|---|
| 12-month range | 1,240.00-3,685.00 |
| Market cap (USDbn) | 32.87 |
| 3m avg daily turnover (USDm) | 335.50 |
| Shares outstanding (m) | 388 |
| Major shareholder | Furukawa Electric (13.8%) |

### Financial summary (TWD)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue (m) | 225,252 | 317,002 | 430,715 |
| Operating profit (m) | 61,468 | 92,248 | 128,353 |
| Net profit (m) | 41,640 | 63,842 | 89,120 |
| Core EPS (fully-diluted) | 104.502 | 160.223 | 223.661 |
| EPS change (%) | 116.6 | 53.3 | 39.6 |
| Daiwa vs Cons. EPS (%) | (0.4) | (2.0) | 7.9 |
| PER (x) | 26.7 | 17.4 | 12.5 |
| Dividend yield (%) | 1.5 | 2.3 | 3.2 |
| DPS | 42.3 | 64.9 | 90.6 |
| PBR (x) | 12.9 | 8.4 | 5.7 |
| EV/EBITDA (x) | 16.2 | 10.5 | 7.3 |
| ROE (%) | 64.2 | 59.0 | 54.8 |

*Source: FactSet, Daiwa forecasts*

## AVC: revenue and earnings forecasts revisions

| | 2026E | | | 2027E | | | 2028E | | |
|---|---|---|---|---|---|---|---|---|---|
| (TWDm) | New | Previous | Change | New | Previous | Change | New | Previous | Change |
| **Sales** | **225,252** | **225,252** | 0.0% | **317,002** | **317,002** | 0.0% | **430,715** | **430,715** | 0.0% |
| **Gross profit** | **73,883** | **73,883** | 0.0% | **109,366** | **109,366** | 0.0% | **150,750** | **150,750** | 0.0% |
| *Gross margin* | *32.8%* | *32.8%* | 0pp | *34.5%* | *34.5%* | 0pp | *35.0%* | 35.0% | 0pp |
| **Operating profit** | **61,468** | **61,651** | -0.3% | **92,248** | **92,248** | 0.0% | **128,353** | **128,353** | 0.0% |
| *Operating margin* | *27.3%* | *27.4%* | -0.1pp | *29.1%* | *29.1%* | 0pp | *29.8%* | 29.8% | 0pp |
| **Net profit** | **41,640** | **42,338** | -1.6% | **63,842** | **64,134** | -0.5% | **89,120** | **89,411** | -0.3% |
| *Net margin* | *18.5%* | *18.8%* | -0.3pp | *20.1%* | *20.2%* | -0.1pp | *20.7%* | 20.8% | -0.1pp |
| **Fully Diluted EPS (TWD)** | **104.50** | **105.88** | -1.3% | **160.22** | **160.39** | -0.1% | **223.66** | **223.60** | 0.0% |

*Source: Daiwa forecasts*

## AVC: 3Q26 results review

| (TWDm) | AVC's 3Q26 results | Daiwa's forecast | Differ | Bloomberg consensus | Differ |
|---|---|---|---|---|---|
| Revenue | 59,089 | 59,089 | 0.0% | 57,904 | 2.0% |
| Gross profit | 20,010 | 19,795 | 1.1% | 19,301 | 3.7% |
| Operating profit | 16,856 | 16,845 | 0.1% | 16,178 | 4.2% |
| Profit before tax | 16,752 | 17,301 | -3.2% | 16,389 | 2.2% |
| Net profit | 11,564 | 11,630 | -0.6% | 11,222 | 3.0% |
| EPS | 29.32 | 29.62 | -1.0% | 28.43 | 3.1% |
| **Margin** | | | | | |
| Gross margin | 33.9% | 33.5% | 0.4pp | 33.3% | 0.5pp |
| Operating margin | 28.5% | 28.5% | 0pp | 27.9% | 0.6pp |
| Pre-tax margin | 28.4% | 29.3% | -0.9pp | 28.3% | 0pp |
| Net margin | 19.6% | 19.7% | -0.1pp | 19.4% | 0.2pp |

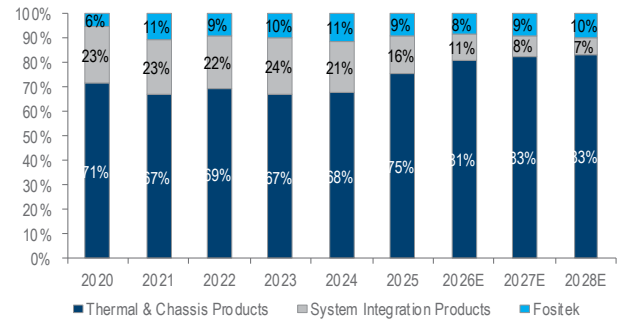
*Source: Company, Bloomberg, Daiwa forecasts*

## AVC: quarterly and annual P&L

| | 2026E | | | | 2027E | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| (TWDm) | 1Q26 | 2Q26 | 3Q26 | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | 2026E | 2027E | 2028E |
| Revenue | 49,038 | 49,121 | 59,089 | 68,004 | 70,000 | 75,000 | 78,000 | 94,002 | 225,252 | 317,002 | 430,715 |
| Gross profit | 14,597 | 15,999 | 20,010 | 23,277 | 23,940 | 25,875 | 26,988 | 32,563 | 73,883 | 109,366 | 150,750 |
| Operating profit | 12,019 | 13,478 | 16,856 | 19,116 | 19,890 | 21,675 | 22,688 | 27,995 | 61,468 | 92,248 | 128,353 |
| Pre-tax profit | 11,979 | 13,935 | 16,752 | 19,357 | 20,304 | 22,089 | 23,102 | 28,409 | 62,023 | 93,903 | 130,009 |
| Net profit | 7,916 | 9,567 | 11,564 | 12,593 | 13,977 | 15,276 | 15,413 | 19,176 | 41,640 | 63,842 | 89,120 |
| Basic EPS (TWD) | 20.17 | 24.37 | 29.32 | 31.93 | 35.51 | 38.81 | 39.16 | 48.72 | 105.79 | 162.20 | 226.42 |
| **Margin** | | | | | | | | | | | |
| Gross margin | 29.8% | 32.6% | 33.9% | 34.2% | 34.2% | 34.5% | 34.6% | 34.6% | 32.8% | 34.5% | 35.0% |
| Operating margin | 24.5% | 27.4% | 28.5% | 28.1% | 28.4% | 28.9% | 29.1% | 29.8% | 27.3% | 29.1% | 29.8% |
| Pre-tax margin | 24.4% | 28.4% | 28.4% | 28.5% | 29.0% | 29.5% | 29.6% | 30.2% | 27.5% | 29.6% | 30.2% |
| Net margin | 16.1% | 19.5% | 19.6% | 18.5% | 20.0% | 20.4% | 19.8% | 20.4% | 18.5% | 20.1% | 20.7% |
| **YoY** | | | | | | | | | | | |
| Revenue | 110.2% | 66.0% | 51.8% | 42.3% | 42.7% | 52.7% | 32.0% | 38.2% | 61.3% | 40.7% | 35.9% |
| Gross profit | 142.2% | 121.5% | 96.7% | 84.6% | 64.0% | 61.7% | 34.9% | 39.9% | 105.0% | 48.0% | 37.8% |
| Operating profit | 175.6% | 164.5% | 108.5% | 90.9% | 65.5% | 60.8% | 34.6% | 46.4% | 123.1% | 50.1% | 39.1% |
| Pre-tax profit | 159.3% | 136.3% | 103.9% | 92.6% | 69.5% | 58.5% | 37.9% | 46.8% | 115.5% | 51.4% | 38.4% |
| Net profit | 146.3% | 139.3% | 116.6% | 89.8% | 76.6% | 59.7% | 33.3% | 52.3% | 117.0% | 53.3% | 39.6% |
| **QoQ** | | | | | | | | | | | |
| Revenue | 2.6% | 0.2% | 20.3% | 15.1% | 2.9% | 7.1% | 4.0% | 20.5% | | | |
| Gross profit | 15.8% | 9.6% | 25.1% | 16.3% | 2.9% | 8.1% | 4.3% | 20.7% | | | |
| Operating profit | 20.0% | 12.1% | 25.1% | 13.4% | 4.0% | 9.0% | 4.7% | 23.4% | | | |
| Pre-tax profit | 19.2% | 16.3% | 20.2% | 15.5% | 4.9% | 8.8% | 4.6% | 23.0% | | | |
| Net profit | 19.3% | 20.9% | 20.9% | 8.9% | 11.0% | 9.3% | 0.9% | 24.4% | | | |

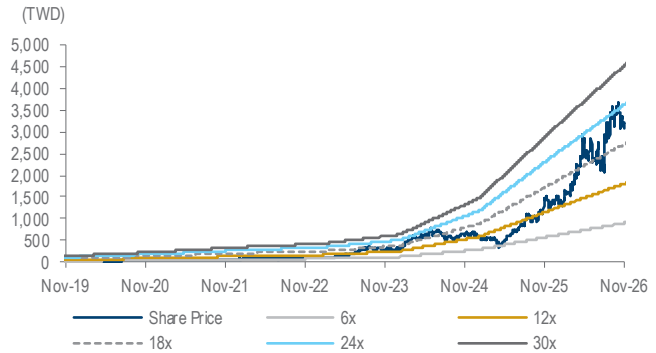
*Source: Company, Daiwa forecasts*

## AVC: product mix




*Source: Company, Daiwa forecasts*

## AVC: 1-year-forward PER




*Source: Bloomberg, Daiwa forecasts*

## Financial summary

### Key assumptions

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Thermal & chassis revenue YoY growth (%) | 11.5 | 22.5 | 2.2 | 22.7 | 116.8 | 73.4 | 43.9 | 37.0 |
| System integration products revenue YoY growth (%) | 17.7 | 14.9 | 13.9 | 7.6 | 46.4 | 10.0 | 10.0 | 10.0 |
| Fositek revenue YoY growth (%) | 126.1 | (0.2) | 12.5 | 45.0 | 51.9 | 50.0 | 50.0 | 50.0 |

### Profit and loss (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Thermal & Chassis | 31,609 | 38,707 | 39,542 | 48,511 | 105,148 | 182,341 | 262,343 | 359,405 |
| System Integration Products | 10,702 | 12,296 | 14,005 | 15,070 | 22,063 | 24,269 | 26,696 | 29,366 |
| Other Revenue | 5,022 | 5,013 | 5,647 | 8,181 | 12,428 | 18,642 | 27,963 | 41,944 |
| **Total Revenue** | **47,333** | **56,017** | **59,194** | **71,761** | **139,639** | **225,252** | **317,002** | **430,715** |
| Other income | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| COGS | (38,947) | (45,167) | (46,806) | (54,891) | (103,605) | (151,370) | (207,637) | (279,965) |
| SG&A | (1,186) | (1,637) | (1,793) | (1,892) | (2,900) | (4,505) | (6,340) | (8,614) |
| Other op.expenses | (2,373) | (2,907) | (3,174) | (4,156) | (5,579) | (7,909) | (10,778) | (13,783) |
| **Operating profit** | **4,827** | **6,306** | **7,421** | **10,823** | **27,556** | **61,468** | **92,248** | **128,353** |
| Net-interest inc./(exp.) | (120) | (184) | (46) | 114 | 91 | 355 | 355 | 355 |
| Assoc/forex/extraord./others | 61 | 367 | 650 | 1,415 | 1,140 | 199 | 1,300 | 1,300 |
| **Pre-tax profit** | **4,768** | **6,489** | **8,025** | **12,352** | **28,786** | **62,023** | **93,903** | **130,009** |
| Tax | (1,438) | (1,871) | (2,211) | (3,159) | (7,836) | (16,883) | (25,561) | (35,389) |
| Min. int./pref. div./others | (429) | (456) | (510) | (1,020) | (1,764) | (3,500) | (4,500) | (5,500) |
| **Net profit (reported)** | **2,901** | **4,162** | **5,305** | **8,172** | **19,186** | **41,640** | **63,842** | **89,120** |
| **Net profit (adjusted)** | **2,901** | **4,162** | **5,305** | **8,172** | **19,186** | **41,640** | **63,842** | **89,120** |
| **EPS (reported)(TWD)** | **8.210** | **11.781** | **14.106** | **21.210** | **49.173** | **105.790** | **162.198** | **226.417** |
| **EPS (adjusted)(TWD)** | **8.210** | **11.781** | **14.106** | **21.210** | **49.173** | **105.790** | **162.198** | **226.417** |
| **EPS (adjusted fully-diluted)(TWD)** | **8.176** | **11.728** | **13.706** | **20.622** | **48.238** | **104.502** | **160.223** | **223.661** |
| **DPS (TWD)** | **4.300** | **5.000** | **6.960** | **9.930** | **21.000** | **42.316** | **64.879** | **90.567** |
| **EBIT** | **4,827** | **6,306** | **7,421** | **10,823** | **27,556** | **61,468** | **92,248** | **128,353** |
| **EBITDA** | **6,404** | **8,022** | **9,375** | **13,285** | **30,802** | **64,737** | **96,959** | **134,688** |

### Cash flow (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Profit before tax | 4,768 | 6,489 | 8,025 | 12,352 | 28,786 | 62,023 | 93,903 | 130,009 |
| Depreciation and amortisation | 1,577 | 1,716 | 1,954 | 2,463 | 3,246 | 3,268 | 4,711 | 6,334 |
| Tax paid | (780) | (1,582) | (1,616) | (2,430) | (3,253) | (16,883) | (25,561) | (35,389) |
| Change in working capital | (3,275) | (1,339) | 3,683 | (7,379) | (390) | (15,295) | (7,136) | (16,975) |
| Other operational CF items | 551 | 3,556 | (1,722) | 4,628 | 10,932 | (368) | (355) | (355) |
| **Cash flow from operations** | **2,841** | **8,840** | **10,324** | **9,632** | **39,321** | **32,745** | **65,562** | **83,624** |
| Capex | (1,567) | (3,666) | (3,657) | (4,540) | (7,267) | (15,000) | (17,000) | (19,000) |
| Net (acquisitions)/disposals | 43 | (12) | (23) | (66) | 3 | 0 | 0 | 0 |
| Other investing CF items | (636) | (515) | (226) | (3,063) | (6,072) | 0 | 0 | 0 |
| **Cash flow from investing** | **(2,160)** | **(4,194)** | **(3,907)** | **(7,669)** | **(13,336)** | **(15,000)** | **(17,000)** | **(19,000)** |
| Change in debt | 1,793 | 4,037 | (1,474) | 3,309 | 7,054 | 0 | 0 | 0 |
| Net share issues/(repurchases) | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Dividends paid | (989) | (1,519) | (1,915) | (2,683) | (3,877) | (7,059) | (16,656) | (25,537) |
| Other financing CF items | 355 | (436) | 4,261 | (426) | (557) | 0 | 0 | 0 |
| **Cash flow from financing** | **1,159** | **2,082** | **872** | **200** | **2,620** | **(7,059)** | **(16,656)** | **(25,537)** |
| Forex effect/others | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Change in cash** | **1,841** | **6,728** | **7,289** | **2,163** | **28,605** | **10,686** | **31,906** | **39,087** |
| Free cash flow | 1,275 | 5,174 | 6,667 | 5,092 | 32,053 | 17,745 | 48,562 | 64,624 |

*Source: FactSet, Daiwa forecasts*

## Financial summary continued …

### Balance sheet (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Cash & short-term investment | 12,915 | 20,049 | 26,957 | 29,924 | 58,530 | 69,229 | 101,134 | 140,222 |
| Inventory | 16,374 | 18,951 | 19,369 | 35,473 | 51,484 | 84,174 | 108,007 | 149,512 |
| Accounts receivable | 6,762 | 5,081 | 7,196 | 8,306 | 13,212 | 21,976 | 29,235 | 40,871 |
| Other current assets | 2,580 | 1,405 | 1,370 | 2,389 | 2,950 | 2,950 | 2,950 | 2,950 |
| **Total current assets** | **38,631** | **45,486** | **54,892** | **76,092** | **126,176** | **178,328** | **241,326** | **333,554** |
| Fixed assets | 7,711 | 9,694 | 11,350 | 13,805 | 17,849 | 29,581 | 41,870 | 54,535 |
| Goodwill & intangibles | 151 | 134 | 177 | 169 | 195 | 195 | 195 | 195 |
| Other non-current assets | 4,372 | 5,160 | 5,248 | 9,839 | 15,916 | 15,916 | 15,916 | 15,916 |
| **Total assets** | **50,865** | **60,474** | **71,667** | **99,906** | **160,137** | **224,020** | **299,307** | **404,201** |
| Short-term debt | 5,028 | 7,970 | 7,583 | 13,130 | 16,311 | 16,311 | 16,311 | 16,311 |
| Accounts payable | 20,116 | 18,911 | 24,900 | 36,809 | 61,128 | 87,988 | 112,645 | 149,514 |
| Other current liabilities | 2,832 | 5,999 | 4,350 | 8,350 | 20,057 | 13,025 | 13,025 | 13,025 |
| **Total current liabilities** | **27,976** | **32,880** | **36,833** | **58,288** | **97,495** | **117,324** | **141,981** | **178,850** |
| Long-term debt | 3,730 | 4,908 | 3,678 | 4,049 | 7,623 | 7,623 | 7,623 | 7,623 |
| Other non-current liabilities | 5,074 | 5,263 | 5,309 | 4,096 | 4,453 | 4,453 | 4,453 | 4,453 |
| **Total liabilities** | **36,780** | **43,051** | **45,820** | **66,433** | **109,572** | **129,401** | **154,058** | **190,926** |
| Share capital | 3,533 | 3,533 | 3,833 | 3,883 | 3,983 | 3,936 | 3,936 | 3,936 |
| Reserves/R.E./others | 8,880 | 11,963 | 18,197 | 24,988 | 40,618 | 81,220 | 127,349 | 189,875 |
| **Shareholders' equity** | **12,413** | **15,496** | **22,030** | **28,871** | **44,601** | **85,156** | **131,285** | **193,811** |
| Minority interests | 1,672 | 1,927 | 3,817 | 4,602 | 5,964 | 9,464 | 13,964 | 19,464 |
| **Total equity & liabilities** | **50,865** | **60,474** | **71,667** | **99,906** | **160,137** | **224,020** | **299,307** | **404,201** |
| EV | 1,080,512 | 1,077,752 | 1,071,118 | 1,074,854 | 1,054,365 | 1,047,167 | 1,019,761 | 986,174 |
| **Net debt/(cash)** | **(4,157)** | **(7,171)** | **(15,696)** | **(12,745)** | **(34,596)** | **(45,294)** | **(77,200)** | **(116,287)** |
| **BVPS (TWD)** | **35.134** | **43.861** | **57.472** | **74.929** | **114.306** | **216.347** | **333.542** | **492.394** |

### Key ratios (%)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Sales (YoY) | 19.3 | 18.3 | 5.7 | 21.2 | 94.6 | 61.3 | 40.7 | 35.9 |
| EBITDA (YoY) | 41.8 | 25.3 | 16.9 | 41.7 | 131.8 | 110.2 | 49.8 | 38.9 |
| Operating profit (YoY) | 47.2 | 30.6 | 17.7 | 45.8 | 154.6 | 123.1 | 50.1 | 39.1 |
| Net profit (YoY) | 51.4 | 43.5 | 27.4 | 54.1 | 134.8 | 117.0 | 53.3 | 39.6 |
| Core EPS (fully-diluted) (YoY) | 51.3 | 43.4 | 16.9 | 50.5 | 133.9 | 116.6 | 53.3 | 39.6 |
| Gross-profit margin | 17.7 | 19.4 | 20.9 | 23.5 | 25.8 | 32.8 | 34.5 | 35.0 |
| EBITDA margin | 13.5 | 14.3 | 15.8 | 18.5 | 22.1 | 28.7 | 30.6 | 31.3 |
| Operating-profit margin | 10.2 | 11.3 | 12.5 | 15.1 | 19.7 | 27.3 | 29.1 | 29.8 |
| Net profit margin | 6.1 | 7.4 | 9.0 | 11.4 | 13.7 | 18.5 | 20.1 | 20.7 |
| ROAE | 25.2 | 29.8 | 28.3 | 32.1 | 52.2 | 64.2 | 59.0 | 54.8 |
| ROAA | 6.2 | 7.5 | 8.0 | 9.5 | 14.8 | 21.7 | 24.4 | 25.3 |
| ROCE | 23.5 | 23.7 | 22.0 | 24.7 | 44.0 | 63.7 | 64.1 | 63.2 |
| ROIC | 39.4 | 44.5 | 52.7 | 52.2 | n.a | n.a | n.a | n.a |
| Net debt to equity | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. | n.a. |
| Effective tax rate | 30.2 | 28.8 | 27.5 | 25.6 | 27.2 | 27.2 | 27.2 | 27.2 |
| Accounts receivable (days) | 49.6 | 38.6 | 37.9 | 39.4 | 28.1 | 28.5 | 29.5 | 29.7 |
| Current ratio (x) | 1.4 | 1.4 | 1.5 | 1.3 | 1.3 | 1.5 | 1.7 | 1.9 |
| Net interest cover (x) | 40.3 | 34.2 | 162.1 | n.a. | n.a. | n.a. | n.a. | n.a. |
| Net dividend payout | 52.4 | 42.4 | 49.3 | 46.8 | 42.7 | 40.0 | 40.0 | 40.0 |
| Free cash flow yield | 0.1 | 0.5 | 0.6 | 0.5 | 3.0 | 1.6 | 4.5 | 6.0 |

*Source: FactSet, Daiwa forecasts*

## Company profile

AVC is a global leading comprehensive thermal solutions provider in segments related to desktops, laptops, communication, servers, energy and autos. Its main product line includes thermal products (thermal modules and fans), chassis, system assembly and peripheral products and hinges. The company has been listed on Taiwan's main board since September 2002.

# ESG analysis

## ESG risks

| Risks | | Management | Analyst comments |
|---|---|---|---|
| G | Executive/board quality | 2 | The CEO and Chairperson of AVC are the same individual, but we see no issue with its board quality. Besides, we see the Chairperson has 24 years of experience in this industry, which is a positive sign from an executive perspective. |
| | Capital management | 2 | AVC's dividend payout ratio was 40-52% over 2020-25, likely due to its capacity expansion plans. |
| | Related party & transaction | 2 | Revenue generated from related-party transactions was 1-3% of total revenue during 2021-25, and we found no suspicious activity. |
| E | Supply chain management | 1 | AVC has introduced Hazardous Substance Process Management (HSPM) and received QC080000 certification. In addition, AVC set up a Green Product team to promote HSPM and formulate environmental regulation to make sure its material sourcing and efficiency are well-performed. |
| E | Data security | 1 | To prevent the interruption of information systems and leakage of sensitive information causing losses to the company and customers, AVC has introduced an information security management system and passed the ISO 27001 information security management system certification in 2019. |

*Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.*

*Update Date: 6 May 2026*

*Source: Daiwa, Company*

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*Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.*
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